

medical and biotech venture firms. But even that didn't dissuade those who believed the story.

How in the post-Madoff era could an entire company built on nonsense so easily slip through the cracks? One theory: Theranos' crash and burn was a function of our own insecurities. The thesis is based on this simple formula:

new technology + venture-capitalist claims of expertise = no one willing to admit they don't understand what's going on

The unwillingness to admit "I don't know" cost these investors billions of dollars.

Venture capital seeks to invest in the products of tomorrow, services that very often do not yet exist. Skillful VCs have some ideas about where markets and demand could be a few years out, and (*cliché alert*) they skate to where the puck *might* be.

But it is a very different thing to make a wager about one possible future—which by design is highly likely to fail—versus outright fraud. Building out an idea that does not find a market is quite different from lying about a medical product that simply cannot do what you claim (it never could) and, as the medical VCs realized, had no basis in reality.

Modern technology moves so fast that no one can possibly keep up with it all.¹⁰⁶ This includes professors at Harvard, investors in Silicon Valley, and everyone geographically and technically in between. A venture investor can specialize, but that limits their ability to find and fund deals. Any area can be hot for a while, then cool off, so being a generalist is a preferred strategy.

Successful venture investors cultivate an air of not only understanding new technology, but knowing where it is going in the future. That kind of reputation is handy to have. Whether it reflects reality is almost beside the point; what's important is that founders, bankers, employees, and the tech press believe it.

We saw this before with Enron. When the company was riding high, its